www.tntextbooks.in

(iv) Sold goods to Rajan on credit costing ` 5,400 for ` 6,000

(v) Received from Rajan ` 5,800 in full settlement of his account

(vi) Wages outstanding ` 400

Solution

Transaction	Assets					Capital `	Liabilities `
	Cash `	Stock `	Machine `	Debtors `			
(i) Started business with cash, stock & machine	+20,000	+12,000	+8,000			+40,000	
Equation	**+20,000**	**+12,000**	**+8,000**		=	**+40,000**	
(ii) Credit purchases		+7,000					+7,000
Equation	**+20,000**	**+19,000**	**+8,000**		=	**+40,000**	**+7,000**
(iii) Payment made to Ramani in full settlement	–6,900					+100	–7,000
Equation	**+13,100**	**+19,000**	**+8,000**		=	**+40,100**	
(iv) Credit sales		–5,400		+6,000		+600	
Equation	**+13,100**	**+13,600**	**+8,000**	**+6,000**	=	**+40,700**	
(v) Cash receipt from Rajan. in full settlement	+5,800			–6,000		–200	
Equation	**+18,900**	**+13,600**	**+8,000**		=	**+40,500**	
(vi) Wages outstanding						–400	+400
Equation	**+18,900**	**+13,600**	**+8,000**		=	**+40,100**	**+400**

Illustration 6

Veena is a dealer in textiles. On January 1, 2018, her business showed the following balances: Cash in hand: ` 20,000; Bank balance: ` 70,000; Stock: ` 15,000. Following are the transactions made during January 2018. Show the effect of the transactions on accounting equation.